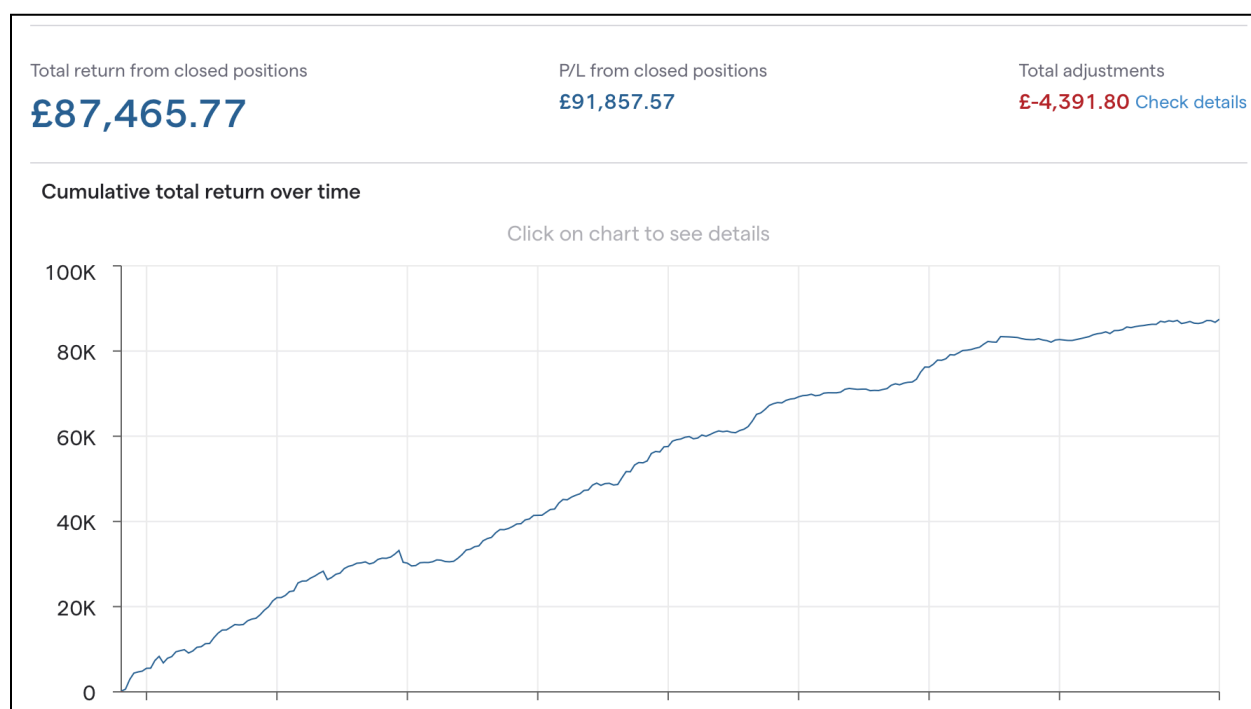


Chapter 10: Supply & Demand by Alex Morris

It's a warm Monday afternoon, and I get a 'ping' on Slack from a guy called Alex Morris. He's a forex trader with 3 young boys and a full-time job. He trades just one hour per day.

The message contained a screenshot of his trading history.



He'd made about £87,000 in the last year from trading a fairly simple continuation strategy. That's \$109,727.12 in a year.

Alex is a curious one.

He's about 25 years younger than Sid and Simon. Conventional wisdom dictates that he should be more emotional, riskier, and a rule breaker. Yet, the opposite is true.

Alex is an accountant with unbelievable discipline in the markets. Despite making enough money from trading to live off, he still works for a modest salary. Saving, scaling his account, and compounding his returns.

On YouTube, Instagram, and TikTok, you will often see young traders showing off how much money they are making. They impulsively buy luxury watches, cars, and vacations. Then, for a price they will sell you their secrets.

In reality, genuine traders are not impulsive. They have learned to curb their enthusiasm for money. Instead, they treat it like Alex treats his - like a set of accounts.

When an accountant looks at a balance sheet, they don't get overly emotional about it. When they enter an expense into the profit and loss statement, they don't flinch. If a big invoice gets paid by a customer and the business has an influx of cash, the accountant simply shrugs and gets on with their day.

This is Alex. He would make fat profits and simply treat it as a spreadsheet entry.

Trading has always been in his blood. His dad worked as a trader for a big investment bank in London for decades. He was 6 years old when he first went onto the trading floor.

He compiled all the knowledge he learned from his dad over the years and applied his own style to it. Like the accountant he is, Alex tested one thing after another and documented the results. Years of backtesting, forward testing, and analysis yielded an astonishingly simple Supply & Demand strategy.

He simply looks at the levels where big institutions are buying or selling a currency.

When price goes back to that level, he waits for a reversal bar and then enters the trade.

Here are his steps:

Step #1: Identify the supply or demand area.

Step #2: Look for the first retest of this area.

Step #3: Wait for a reversal candle.

Step #4: Set a stop loss and take profit level.

Step #5: Enter the trade.

Alex trades this strategy on the hourly chart. Each bar represents an hour in time.

Step #1: Identify Areas of Supply & Demand

"Supply" refers to how much of a currency is available for sale. It's the amount that's out there, ready to be traded.

An "area of supply" is like a warning zone on a price chart. When the price of a currency reaches this zone, it has recently faced a lot of selling.

Imagine a room where everyone is quietly trading, but suddenly, many decide to sell at once. This causes a quick drop in price. This "room" or zone became known as an area of supply because a lot of selling happened there. When the price comes back to this zone later, traders are cautious, expecting potential selling again.

On the other hand, "demand" is about how much of that currency people want to buy. It indicates the desire or need for that particular currency in the market.

An "area of demand" is like a safety net on a price chart. When the price of a currency drops to this zone, it has historically found many buyers.

Picture a falling apple, but just before it hits the ground, a crowd rushes in to catch it. This sudden catch causes the apple (or price) to bounce back up. This "catch zone" becomes known as an area of demand because, in the past, a lot of buying happened there. When the price drops back to this zone later, traders expect it to bounce up, as it's a place where the currency previously found strong support or buying interest.

In other words:

- Demand = going up
- Supply = going down

Let's take a look at an illustration.

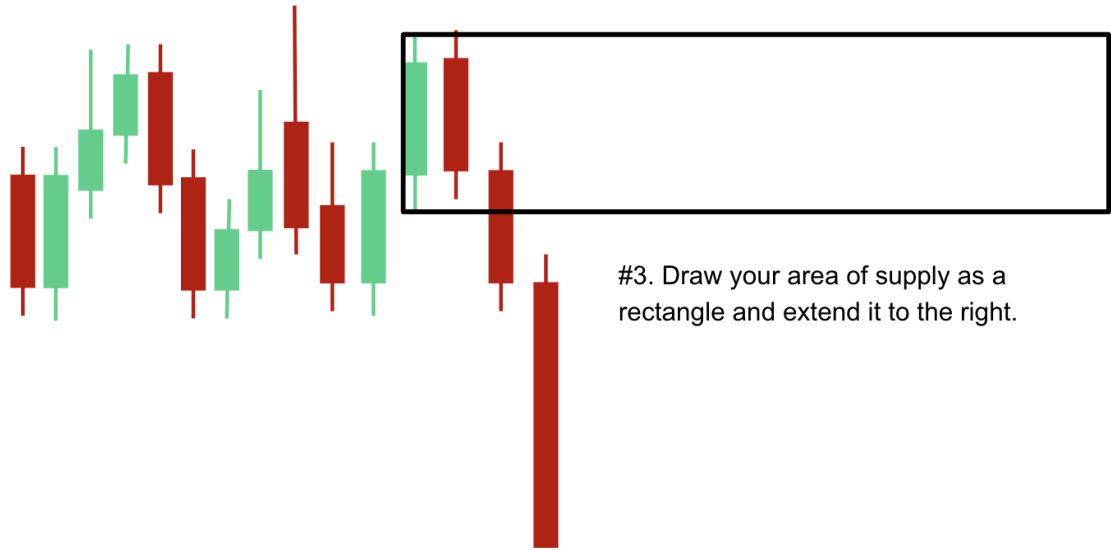
Supply is an area where price has noticeably pushed lower. There was a period of consolidation, but price has now broken downwards.



Now, just before this big push downwards, there would have been a green (or bullish) candle. This was the last time that buyers were in control.



The length of that green bar, from wick to wick, is known as the area of supply. Simply extend the area to the right and you have your supply zone.



Let's take a look at a real example of a supply area - step by step.







Identifying the area of demand is the opposite.

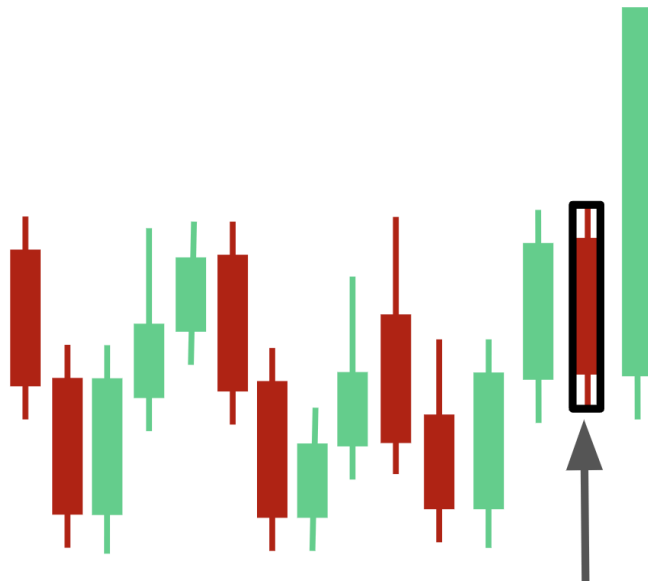
First, spot an area of consolidation. Price has to go sideways for at least two candles (or bars). Then, wait for price to noticeably break upwards out of the consolidation.

#1. Price has broken out of a consolidation upwards:



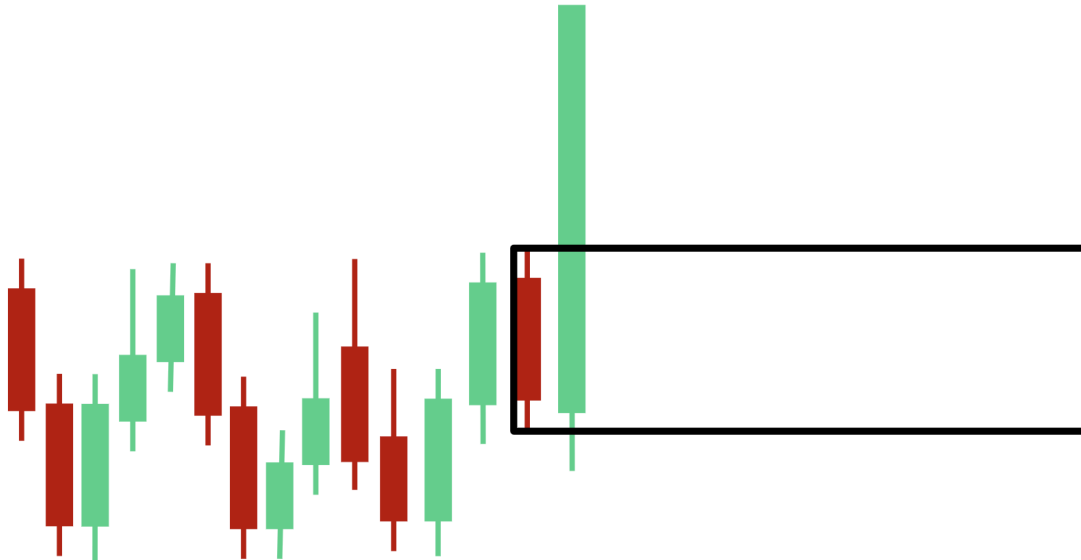
Just before the big push upwards, there should be a red candle. It was the last time that the sellers were in control.

#2. Spot the bearish candle



The length of that red bar, from wick to wick, is known as the demand area. Extend it out to the right.

#3. Draw your area of demand as a rectangle and extend to the right



Let's take a look at a real example, step by step.





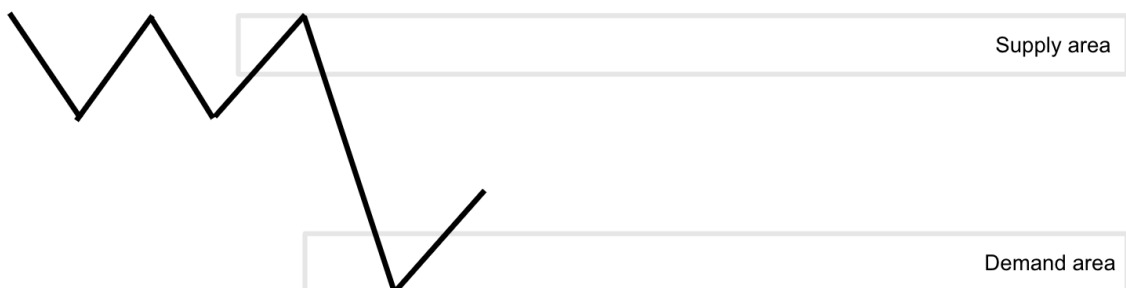


Step #2: The Retest

Once you have identified the supply or demand area, you have to wait for price to retrace to it.

Take a look at the illustration below.

Price shot out of a consolidation at the top to form a supply area. Then, it shot out of the consolidation below to create a demand area.



Now, you have to wait for price to go back to one of those areas. In the illustration below we can see that price has moved back up to the supply area. You are now almost ready for a short trade.



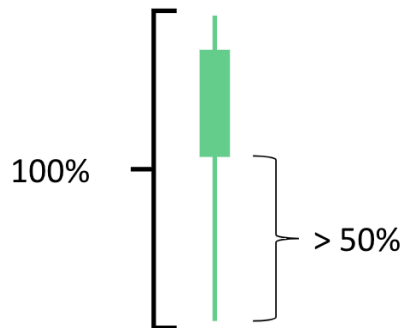
Below is another illustration, but this time it shows the opposite. Price has retraced its steps to the demand area. You are now almost ready for a long trade.



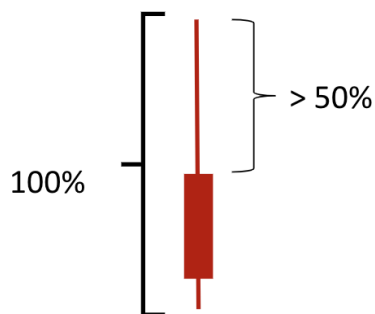
Step #3: The Reversal Candle

Once price has gone back to the area of supply and demand, you need to see some kind of 'bounce' or 'rejection' before you can enter your position. There are many scientifically tested reversal candles for you to choose from. Alex generally focuses on three of them.

For long trades, a pin bar with a long wick below the body is ideal, while for short trades, a pin bar with a long wick above the body is preferred.



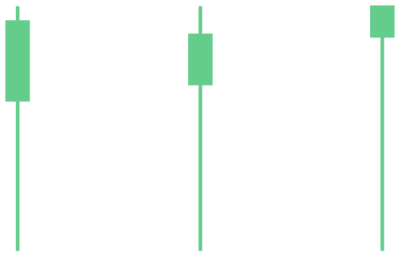
A long individual candle that has a wick (shadow) that is more than 50% of the overall range of the candle



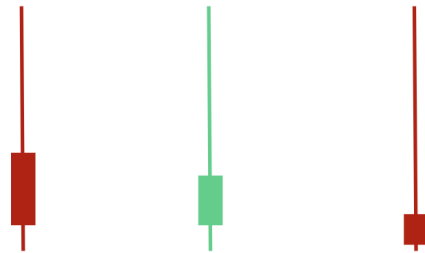
The short bar is exactly the same, except the body is at the lower end of the bar.

They can have different body sizes or wick lengths, but as long as the wick meets the 50% threshold and the bar is broken above (for longs) or below (for shorts), it's a valid setup candle.

Long (buy) examples



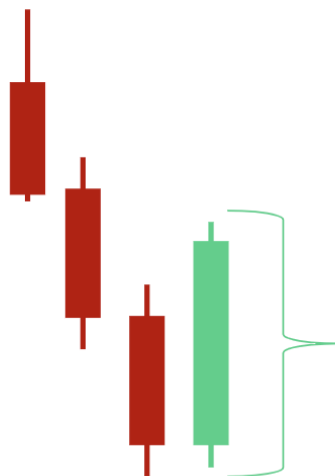
Short (sell) examples



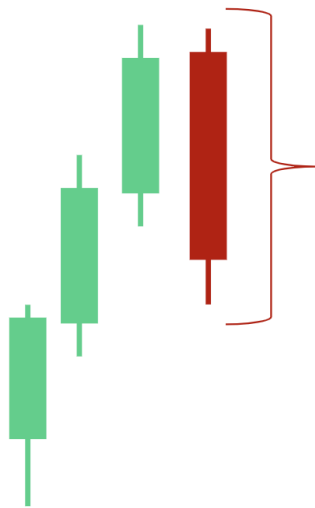
It's important to note that the color of the candle doesn't matter as long as the wick is on the right side for the type of trade being considered.

Not every candle with a long wick is a pin bar, as it needs to meet the 50% threshold.

Let's take a look at another candle pattern called an engulfer. After a retest, we are looking for an entry, and we find it in the form of an engulfing candle. It completely engulfs the body of the previous candle.



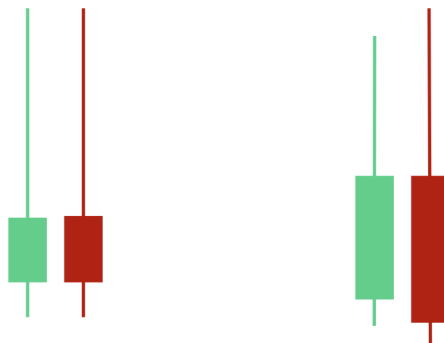
It has a big body and engulfs the previous candle and closes above the wick.



If it is a bearish engulfer then price must close below the low of the previous candle (including the wick).

The third and final entry pattern we're going to look at are called tweezers. They are 2 'longish' wick candles next to each other (they don't have to be pinbars). It is best if the bodies of the candles are roughly at the same level as each other.

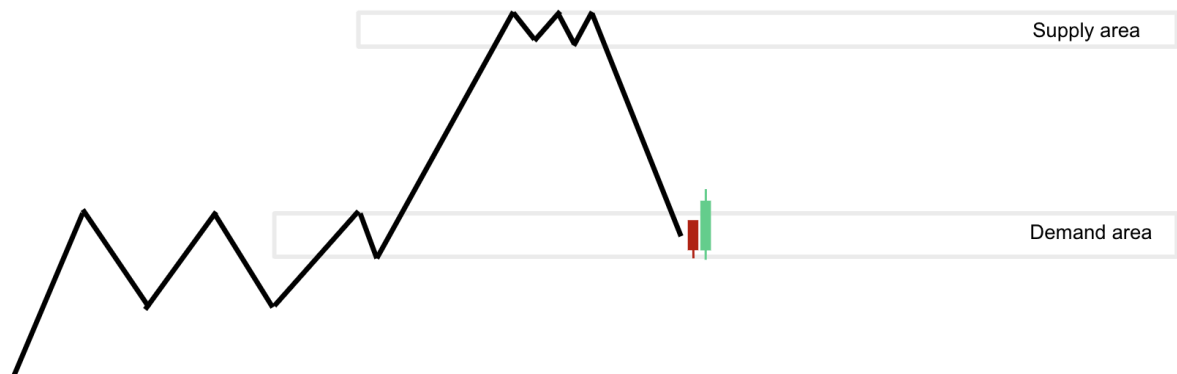
The two on the left are "perfect" tweezers. In real life, you're more likely to experience the ones on the right.



Let's go back to our illustration of the retest. When price retraces, we wait for the reversal candle. Below you can see an engulfer.



Here is an illustration of a retrace and an engulfer, but with price rejecting the demand area.

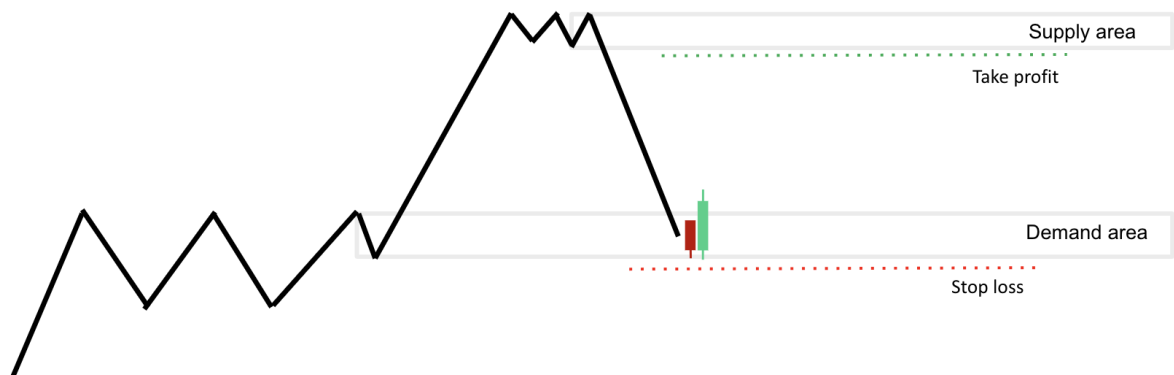


Step #4: Set Your Stop Loss & Take Profit

When going short, your stop loss will be a few pips above the reversal candle. It doesn't have to be above the supply area. Your take profit will be just above the closest demand area.



When going long, your stop loss will be a few pips below the reversal candle. Your take profit will be just below the nearest supply area.



PLEASE NOTE: Once you know your stop loss level, you can work out your position size.

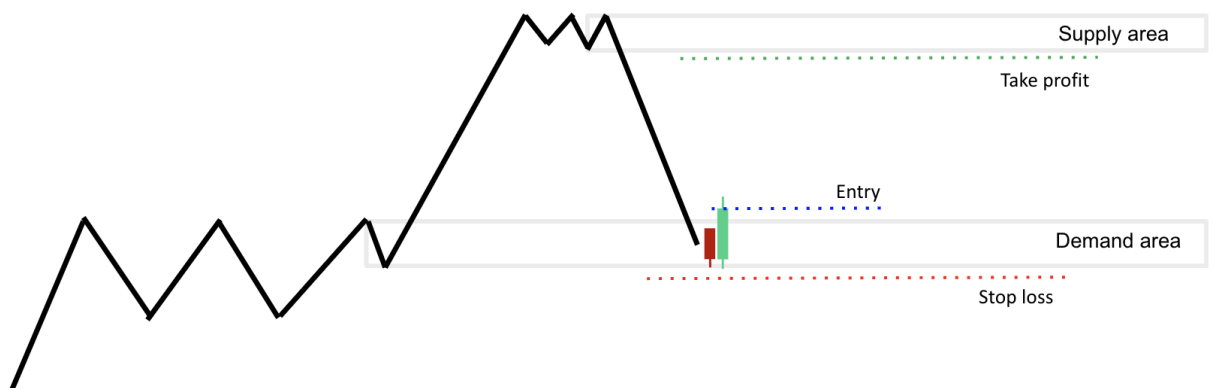
Step #5: Enter The Trade

The entry is simple. As soon as the reversal candle closes, you can enter the trade.

Short illustration:



Long illustration:



After years of testing, Alex has uncovered a few additional rules that will invalidate the trade. Make sure you adhere to them because they will protect your account.

Rule #1: A trade has to have a risk-reward ratio of 1:2 or higher. The potential reward must be at least twice as large as the risk.

Rule #2: Only use fresh areas of supply or demand. If price has bounced off an area once, then you cannot use it again to enter a trade.

Rule #3: Do not trade during big news events. Check ForexFactory.com for red news days and avoid them.

Supply & Demand Strategy Results

The most astonishing thing about Alex's Supply & Demand strategy is his Risk:Reward.

His trades often get 1:2 and can even go further. Let's look at some examples.

Nadia posted the following backtesting project in The Trading Academy.

Her win rate was 62.67% and her total R was 387. That means, if she risked 1% per trade it comes out to a whopping 387% return over 300 trades.



Nadia Castellanos Robles • 26d (edited) ...

Hi, here is my backtesting project D on [@Alex Morris](#) Supply and Demand strategy - 300 trades... wow!

I had a total of 300 trades (150 long and 150 short)

My risk per trade vary depending on the trade set up.

Total R 387.3

Win rate 62.67%

Backtesting sheet

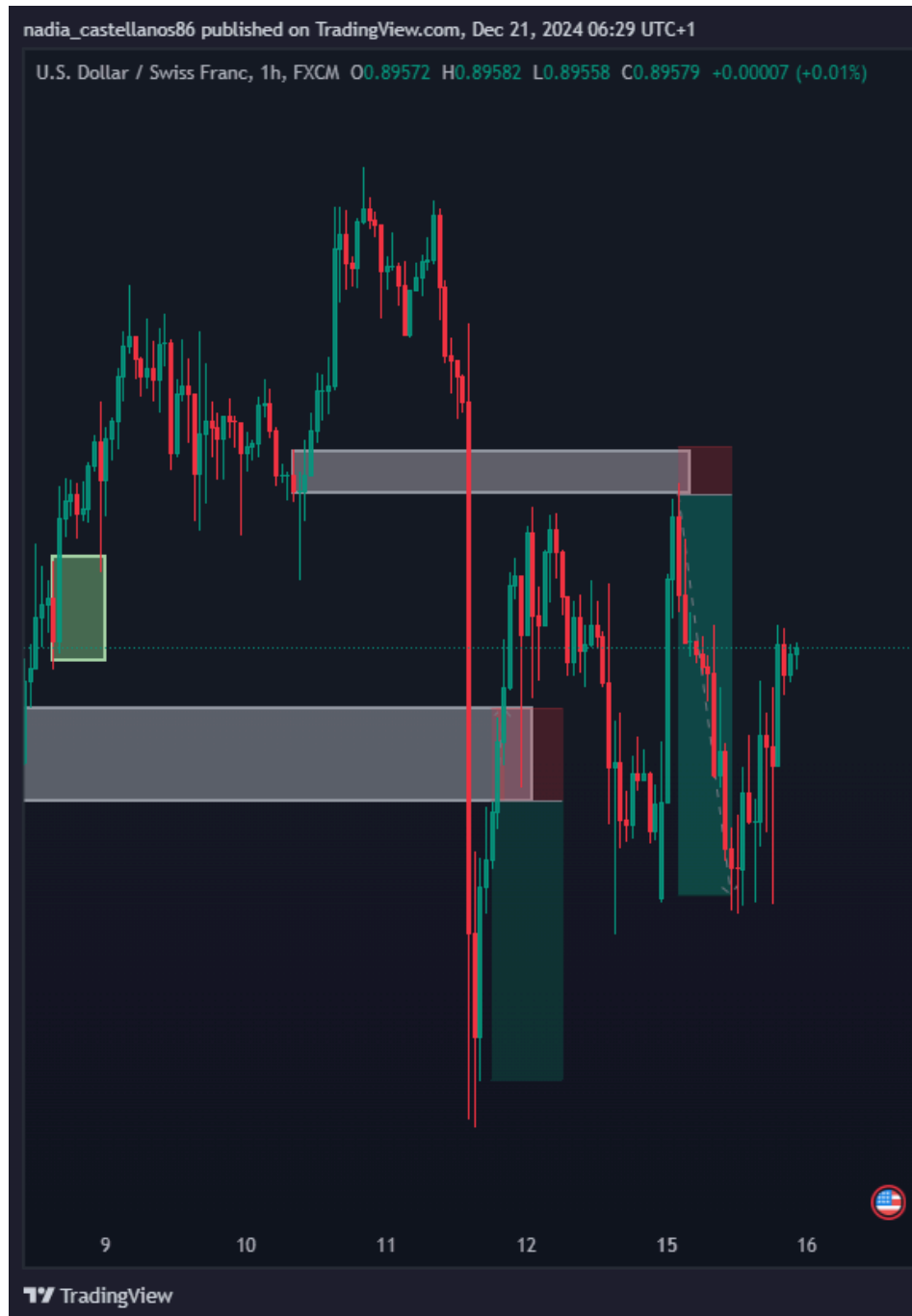
https://docs.google.com/spreadsheets/d/14qq_IrNrOkNBMZ4pnAXkv31eosISynzGEsbDHgJS4pY/edit?usp=sharing



PDF • 581kb

4 [Reply](#)

Her best trade out of the 300 was a USDCHF short trade. In her screenshot, you can see this enormous move in action:



This is called a “Flip Zone”. Alex teaches this in his course inside of The Trading Academy. It’s where a demand and supply zone flips. They usually provide a very good Risk:Reward.

In this case, she pulled in a whopping 6.41%.

This is pretty advanced and requires a lot of practice. Most profitable trades are more likely to look like this:



Price bounced off a demand zone with an engulfing candle. Nadia targeted a 1:2 risk:reward.

Here's a reminder that all our students in the Legacy Program have to do very detailed backtests before they can move on to the next stage. This includes entries, exits, and screenshots. Below is a glimpse at what Nadia's looks like.

Q86 https://www.tradingview.com/x/IE6XHZH/																	Q	
	F	G	H	I	J	K	L	M	N	O	P	Q						
1	Date	Exit	Entry	Stop Loss	% Risk	Pip Risk	Exit price	Pip Gain	Trade RR	% Return	Win/Loss	Duration	Screenshots				Notes	
2	Friday, April 28, 2023	1.09840	1.09714	0.50%	13	1.10218	38	3.0	1.50%	Win	0		https://www.tradingview.com/x/DgMvzwH/		Bullish trend, good demand area. 5th confirmation candle on Fri			
3	Wednesday, May 10, 2023	1.09662	1.09870	0.50%	21	1.09870	-21	-1.0	-0.50%	Loss	0		https://www.tradingview.com/x/nF8baIE/		Ranging price action with bullish sentiment on HTF. weak supply			
4	Tuesday, May 16, 2023	1.08685	1.08992	1.00%	31	1.08992	-31	-1.0	-1.00%	Loss	0		https://www.tradingview.com/x/YzqNVz2pE/		Evident switch to bearish on the LTF. Good supply area as price			
5	Wednesday, May 24, 2023	1.07896	1.08052	0.75%	16	1.07584	31	2.0	1.50%	Win	0		https://www.tradingview.com/x/awgm7WaN/		Bearish momentum continued. weak supply area as not breaking			
6	Friday, May 26, 2023	1.07223	1.07455	0.75%	23	1.07455	-23	-1.0	-0.75%	Loss	1		https://www.tradingview.com/x/plhNsGa/		price keep on making LL's. Price retraced withing 3 candles, re			
7	Tuesday, May 30, 2023	1.07359	1.07447	1.00%	9	1.07049	31	3.52%	3.5	Win	1		https://www.tradingview.com/x/ENdH1GoA/		Price about made LL's. Targeting previous lows			
8	Wednesday, May 31, 2023	1.06920	1.07065	0.75%	15	1.06628	29	2.0	1.51%	Win	0		https://www.tradingview.com/x/RM0Z3eSQ/		Price making LL's. reduced risk due to news			
9	Tuesday, June 13, 2023	1.07987	1.08146	0.50%	16	1.08146	-16	-1.0	-0.50%	Loss	0		https://www.tradingview.com/x/3auzdzAJ/		weak supply area from couple of weeks ago. 5th confirmation i			
10	Monday, June 26, 2023	1.08690	1.08409	0.75%	28	1.09532	84	3.0	2.25%	Win	3		https://www.tradingview.com/x/m03ScvZn/		bullish sentiment aligned with HTF. good demand area, reduced			
11	Thursday, July 27, 2023	1.10443	1.10112	1.00%	33	1.11254	81	2.5	2.45%	Win	2		https://www.tradingview.com/x/yFCBCBP5x/		Good demand area, strong impulse up. pin bar rejection, target			
12	Friday, July 28, 2023	1.09700	1.09401	0.75%	30	1.10300	60	2.0	1.51%	Win	0		https://www.tradingview.com/x/BFYX0d7/		Good demand area from 3 weeks ago. reduced risk as there ar			
13	Thursday, August 10, 2023	1.09450	1.09276	0.50%	17	1.09974	52	3.0	1.51%	Win	2		https://www.tradingview.com/x/bUihRev1/		weak demand area as price is not making HH's. 4th confirmat			
14	Wednesday, August 16, 2023	1.09295	1.09546	0.50%	25	1.08792	50	2.0	1.00%	Win	1		https://www.tradingview.com/x/DBB1NqTC/		Bearish sentiment with HTF bias. News coming up, reduced ris			
15	Tuesday, September 20, 2023	1.07192	1.07391	0.50%	20	1.06592	60	3.0	1.51%	Win	0		https://www.tradingview.com/x/cWwsmGd4/		Strong bearish sentiment. good supply area. Pin bar rejection a			
16	Thursday, October 12, 2023	1.06117	1.06439	1.00%	32	1.05470	65	2.0	2.01%	Win	1		https://www.tradingview.com/x/cQdWvRTCH/		Good supply area. Strong rejection			
17	Wednesday, November 1, 2023	1.05525	1.05726	0.50%	20	1.05726	-20	-1.0	-0.50%	Loss	0		https://www.tradingview.com/x/mf8s610V/		Weak supply area. News coming up, reduced risk			
18	Friday, December 1, 2023	1.09477	1.09609	0.50%	13	1.08957	52	3.9	1.97%	Win	1		https://www.tradingview.com/x/78sLoio7/		flip zone, price made HH's and then dove through the area. tr			
19	Tuesday, December 19, 2023	1.09238	1.09489	0.75%	25	1.09489	-25	-1.0	-0.75%	Loss	1		https://www.tradingview.com/x/PhyAIEB/		flip zone from a good demand area. trade against sentiment, re			
20	Friday, December 29, 2023	1.10653	1.10412	1.00%	24	1.10412	-24	-1.0	-1.00%	Loss	0		https://www.tradingview.com/x/zGfncG97/		Good demand area breaking previous highs. recent bullish sen			
21	Friday, January 5, 2024	1.09471	1.09749	0.75%	28	1.08914	56	2.0	1.50%	Win	1		https://www.tradingview.com/x/zAbzadm/		Weak supply area as price not breaking previous lows. 4th con			
22	Thursday, January 18, 2024	1.08683	1.09078	0.50%	20	1.08491	39	2.0	1.01%	Win	0		https://www.tradingview.com/x/a6HLy12p/		reduced risk as price did not touch the supply area			
23	Tuesday, January 23, 2024	1.08977	1.09108	0.50%	13	1.09108	-13	-1.0	-0.50%	Loss	1		https://www.tradingview.com/x/N2huXyCz/		weak supply area, price breaking recent lows but withing rangi			
24	Monday, January 29, 2024	1.08723	1.08885	0.75%	16	1.08200	52	3.2	2.42%	Win	3		https://www.tradingview.com/x/yMM8BYE/		weak supply area, price did not break recent lows. price did not			
25	Tuesday, January 30, 2024	1.08614	1.08867	0.50%	27	1.08068	55	2.0	1.00%	Win	1		https://www.tradingview.com/x/80ccqCw/		good supply area, price did not break recent lows. high impact.			
26	Friday, February 16, 2024	1.07612	1.07888	1.00%	28	1.07888	-28	-1.0	-1.00%	Loss	1		https://www.tradingview.com/x/cnqNekCBU/		good supply zone as price broke recent lows. bearish sentimen			
27	Wednesday, February 28, 2024	1.08525	1.08913	0.75%	39	1.08024	50	1.3	0.97%	Win	6		https://www.tradingview.com/x/cWYygoA5/		brearish sentiment, supply area did not break previous lows, ck			
28	Wednesday, March 27, 2024	1.08553	1.08655	1.00%	10	1.08136	42	4.1	4.09%	Win	1		https://www.tradingview.com/x/3HCYToCNC/		good supply zone, price breaking recent lows. strong rejection i			
29	Wednesday, April 3, 2024	1.07659	1.07818	1.00%	16	1.07818	-16	-1.0	-1.00%	Loss	1		https://www.tradingview.com/x/cp2Npvcu/		supply zone barely broke recent lows but good opportunity as p			
30	Thursday, April 16, 2024	1.06379	1.06558	0.75%	18	1.06021	36	2.0	1.50%	Win	0		https://www.tradingview.com/x/cdpqUjFMWw/		potential long opportunity against recent sentiment. reduced ris			
31	Wednesday, May 2, 2024	1.06882	1.06698	0.75%	18	1.07251	37	2.0	1.50%	Win	0		https://www.tradingview.com/x/qNqXhHIX/		change of sentiment on the hourly but bias against HTF. reduce			
32	Thursday, May 9, 2024	1.07511	1.07327	0.75%	18	1.07327	-18	-1.0	-0.75%	Loss	1		https://www.tradingview.com/x/cNqXhHIX/		confirmation candle not the best, reduced risk.			
33	Thursday, May 23, 2024	1.08346	1.08210	0.75%	14	1.08210	-14	-1.0	-0.75%	Loss	1		https://www.tradingview.com/x/cNqXhHIX/					
34	Monday, June 3, 2024	1.08370	1.08253	0.50%	12	1.08796	43	3.6	1.82%	Win	0		https://www.tradingview.com/x/cNqXhHIX/		price did not touch demand area but strong confirmation on the			
35	Tuesday, June 11, 2024	1.07536	1.07223	0.50%	31	1.07223	-31	-1.0	-0.50%	Loss	1		https://www.tradingview.com/x/cNqXhHIX/		reduced risk as market open with a gap and the demand area s			

In later chapters, we will show you how this is done.

Another student, Greg Price, got very interesting results in his backtest of the Supply & Demand strategy.

His win rate was only 39.3%. That means he lost the majority of his trades.

However, this doesn't matter much since he still achieved an 85.08% return. See the image below.



Greg Price • Nov '24 (edited)

Hi all, after many weeks, at last, I have completed the 300 trades for the Backtesting Project. I used Alex's Strategy (S&D and Flip).

High Level Results:

Win Rate - 39.30%

Return % - 85.08%

Workflow:

- I used a 12 month period and went through 28 currency pairs. However, in the last 25 or so trades I had to extend the timeframe as I ran out of currency pairs
- For S&D, I only entered trades between 7am-9am and 7pm-9pm
- For Flip Zones, I only entered if I would have noticed the flip zone forming during 7am-...

[See more](#)



8

Reply



Simon Pullen • Nov '24

[@Greg Price](#) - great project and post Greg. This is a huge achievement - well done.



1

Reply

Here's how this is possible.

As explained with Nadia's results, Alex's strategy has a very high reward when it wins.

A winning trade can be 2, 3, or even 6 times bigger than a losing trade. This means you don't need a win rate above 50%. You can lose the majority of your trades and still come out on top.

Let's take a look at one more student, Matheus Vilela. He was the very first person to complete a backtesting project inside of The Trading Academy.



Matheus Vilela · Sep '24

It seems I will have the honour to start Project D tread :), which I am sure will be followed by many other Project D backtesting!

Here is the summary

I have exclusively used the base Alex's supply and demand strategy with no outliner, orderblock, flip zone or mechanicals. I have done bar-per-bar replay (totally worthy) and trading time between 6 AM to 5 PM, except Friday after 3 PM. Also, I have not retrofit any non-taken trade, If I missed it, I missed it.

I have done approximately 40 trades per pair, which mostly cover from Feb 2023 till Ago 2023, few cases went to December :|

Outcome

Trades - 347 - # Short - 197 // # Long - 150

Total R - 234.88%

Trade R - 0.68%

Win Rate - 59.37%

Reward Risk - 2.45

Average Days - 0.85

Monthly R - 13.37%

of months below 3% - 3 months, (20%)

of months below 0% - 1 month, (6.7%)

I found GBPCAD particularly difficult to trade, AUDUSD does not fully respect the S/D and I found more pleasant trading with EURAUD, EURNZD, GBPJPY

<https://docs.google.com/document/d/1b9L4F87LmiwdymzjM53wrtxrQrO6VhNQs5nN7Z5kwzA/edit?usp=sharing>

As discussed with Alex, I will start the forward test for 2 weeks and hopefully a small account at the end of the month.

I suppose the biggest challenge now is to replicate it on a slow-paced hourly chart without messing it up!!! Oh Lord... God help me, please!

@Alex Morris @Denislav Dantev @Zack Van Niekerk - I just want to say that I very much appreciate your support so far!

↓ Jump to latest comment

👍 9 Reply

He did 347 trades with a total R of 234.88%.

What's interesting about him is that he also posted the monthly return this would get him. It was 13.37% per month. Compounded, that's 350% per year.

Surely this can't be?

We talk a lot about the monthly return you should aim for later in the book, but for now we have to explain the insane results that the backtesting students are getting.

Backtesting is you *practicing the strategy* - it's not in real time. In live trading you will miss some opportunities.

Matheus and the other students will only get half or a third of the trades they find in their backtesting.

Finally, their risk is most likely going to be lower in the real markets - reducing the overall gain.

Learn Alex's Method With Structured Education

There are two ways to learn more from our traders.

#1. **TheTrading.cafe** - This is our free school. Join fully vetted 6-figure traders live on Zoom every